



Time: 5 minutes

Outcome: Determine equilibrium, shortages, surpluses, adjustment, and comparative statics.

Difficulty: Beginner

Market Equilibrium

THE CORE IDEA

Market equilibrium occurs where quantity demanded equals quantity supplied. At that price, buyers can purchase the amount they want and sellers can sell the amount they offer, so there is no pressure for price to change. A demand or supply shift creates a new intersection and can change both equilibrium price and equilibrium quantity.

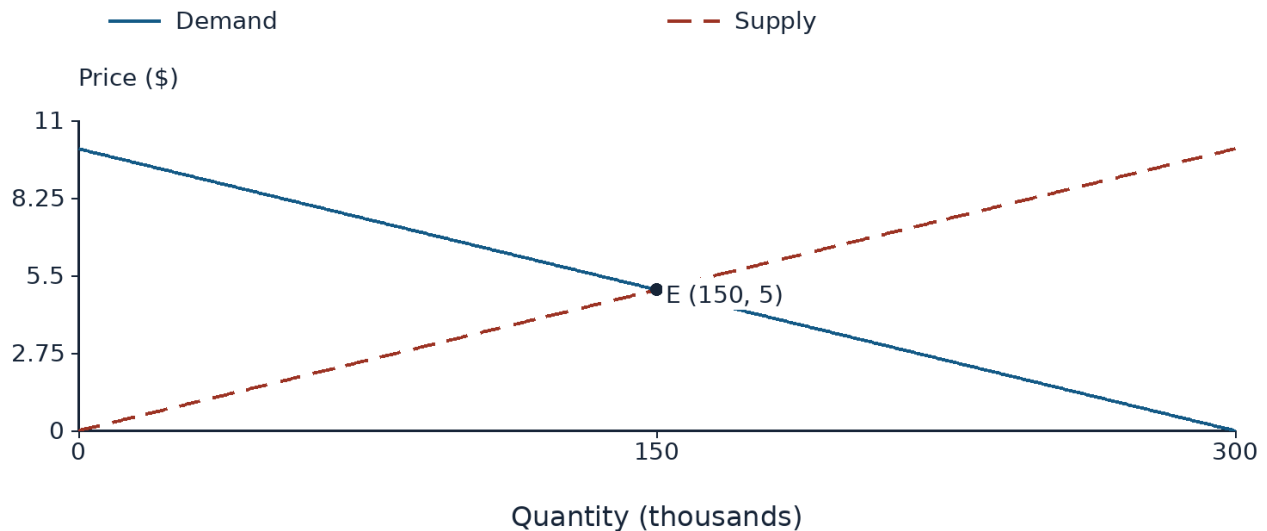
HOW TO RECOGNIZE IT

- Find the price at which quantity demanded equals quantity supplied.
- On a graph, use the intersection of the demand and supply curves.
- A price below equilibrium creates a shortage; a price above equilibrium creates a surplus.
- Report both the equilibrium price and the corresponding equilibrium quantity.

WATCH OUT

A common mistake is to call any intersection or stated price an equilibrium. Equilibrium occurs only where quantity demanded equals quantity supplied.

WORKED EXAMPLE: FINDING MARKET EQUILIBRIUM



Demand and supply intersect at a price of \$5 and quantity of 150 thousand. Buyers want exactly the amount sellers offer at that point. A price above \$5 creates a surplus; a price below \$5 creates a shortage. This example finds equilibrium without shifting either curve.

CHECK YOURSELF

At a price below \$5 on this graph, which quantity is larger, and what pressure does that create on price?

READY?

Return to the game and master this concept.